

The Effect of Local Road Maintenance Tax Cuts on House Values

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Highlights -

- Local road-maintenance tax cuts lower maintenance funds by 11%.
- After fine-tuning a Vision Transformer (ViT) model on satellite images of roads, our AI-based metric shows a 23% drop in road quality.
- Median house prices fall 9% over the ten-year period after failed renewal.
- Urban areas and high-value homes are most affected.
- Larger tax cuts lead to proportionally larger declines in house prices.